

Decision Making and Negotiation

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Definition

The process of examining your possibilities options, comparing them, and choosing a course of action.

Decision making can be defined as a process of choosing between alternatives to achieve a goal. It is the process by which an individual chooses one alternative from several to achieve a desired objective. (Manmohan Prasad, 2003)

Factors controlling Decision making

- Perception.
- Priority.
- Acceptability.
- Risk.
- Resources.
- Factors

- Goals.
- Values.
- Demands.
- Style.
- Judgement

6 C's of Decision Making.

Construct.

Compile.

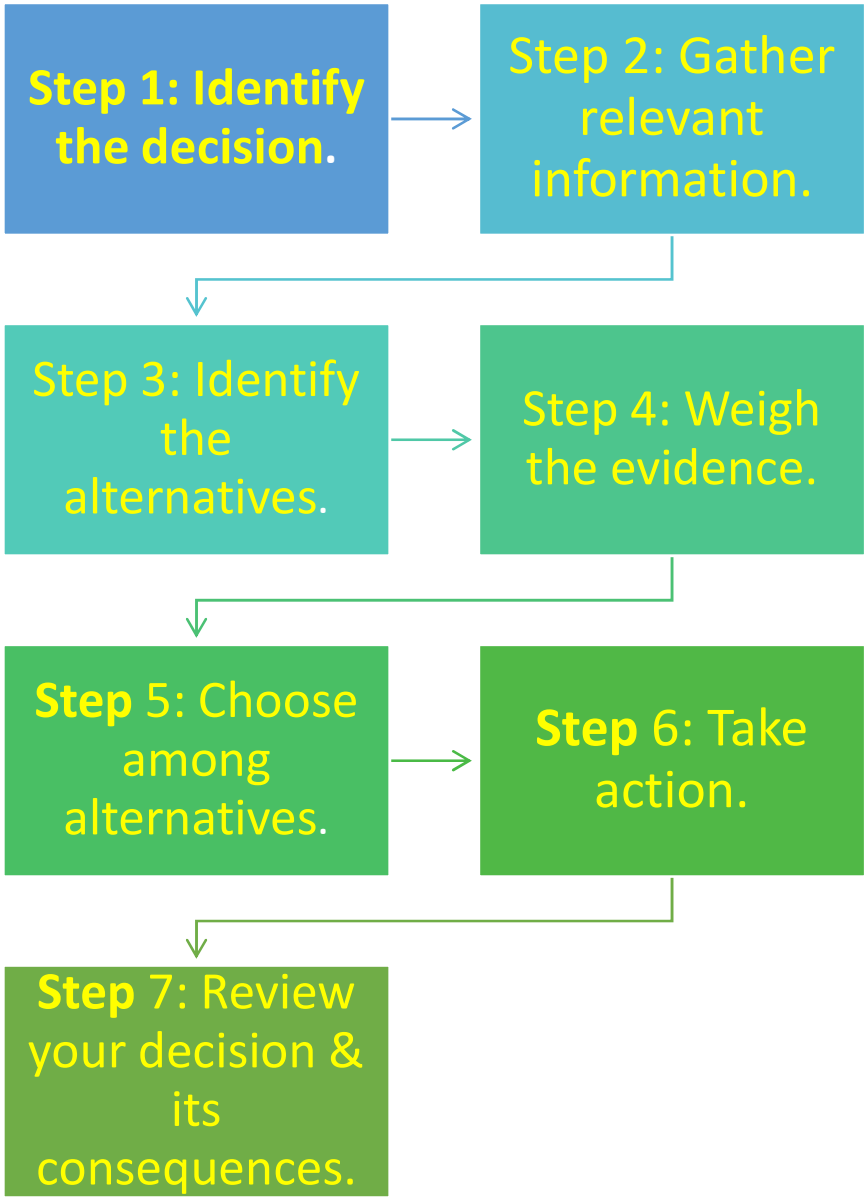
Collect.

Compare.

Consider.

Commit.

Steps of Decision Making



Steps of Decision Making

Step 1: Identify the decision.

Clearly define the nature of the decision after identifying need for decision making.

Step 2: Gather relevant information.

Collect relevant information from internal and external source.

Step 3: Identify the alternatives.

List possible and desirable alternatives.

Step 4: Weigh the evidence.

Find the alternatives which can satisfy the need identified in Step-1 and prioritize the alternatives

Steps of Decision Making



Step 5: Choose among alternatives.



Select the best alternative, it can be a combination of two or more alternatives



Step 6: Take action.



Implement the alternative chosen from Step-5



Step 7: Review your decision & its consequences.



Evaluate the result of the decision taken. Correct it if necessary.

Decision making Techniques

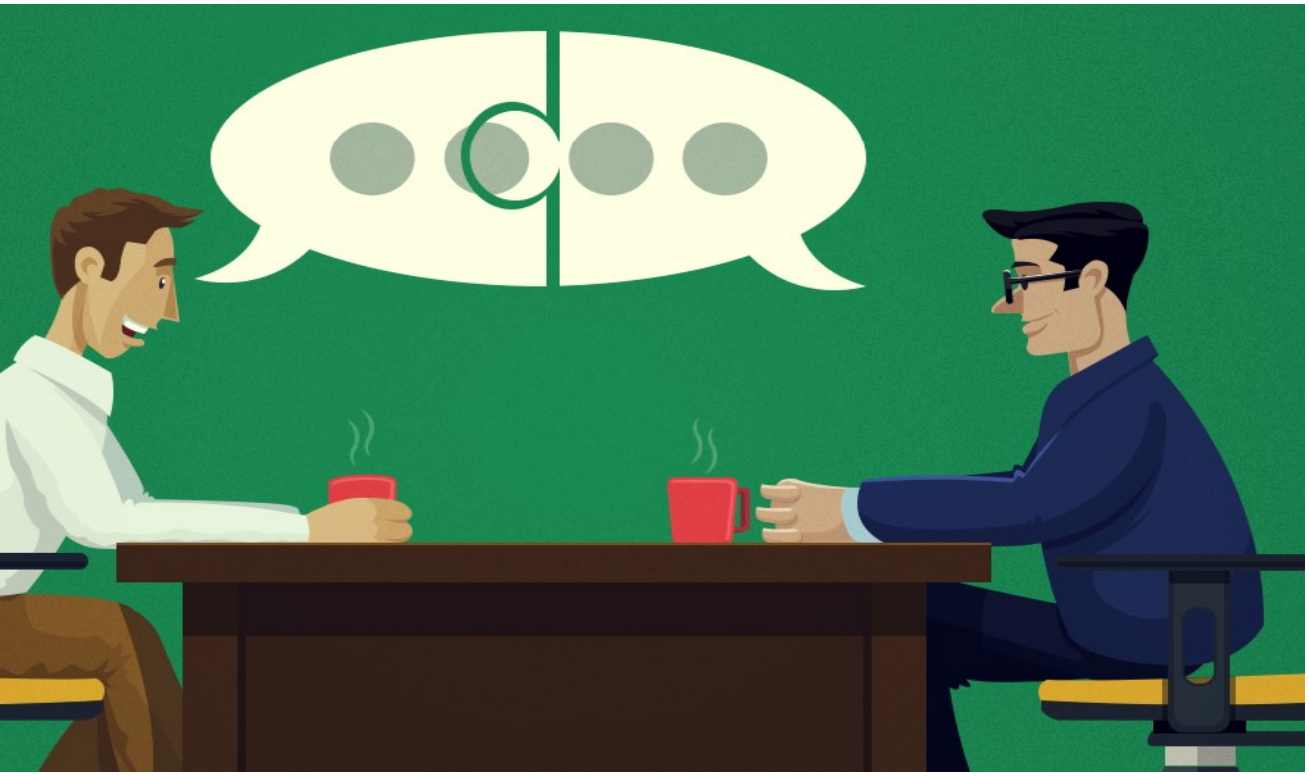


- Group Discussions.
- Brainstorming.
- Delphi technique.
- Marginal Analysis.
- Cost-Benefit Analysis.
- Ratio Analysis.
- Financial Analysis.
- Break-even Analysis.

Decision making Techniques

- ***Group Discussions*** and ***Brain Storming*** are popular decision-making techniques. Participants are open minded to accept other ideas.
- ***Delphi Technique*** is collecting ideas from a group of experts and arriving at a consensus.
- ***Marginal Analysis & Cost-Benefit Analysis*** are done to find out the extra cost to be incurred for the decision planned.
- ***Ratio Analysis, Break Even Analysis and Financial analysis*** are quantitative techniques to find out the financial benefit to be accrued because of a particular decision.

Negotiation



A negotiation is a strategic discussion that resolves an issue in a way that both parties find acceptable. In a negotiation, each party tries to persuade the other to agree with his or her point of view.

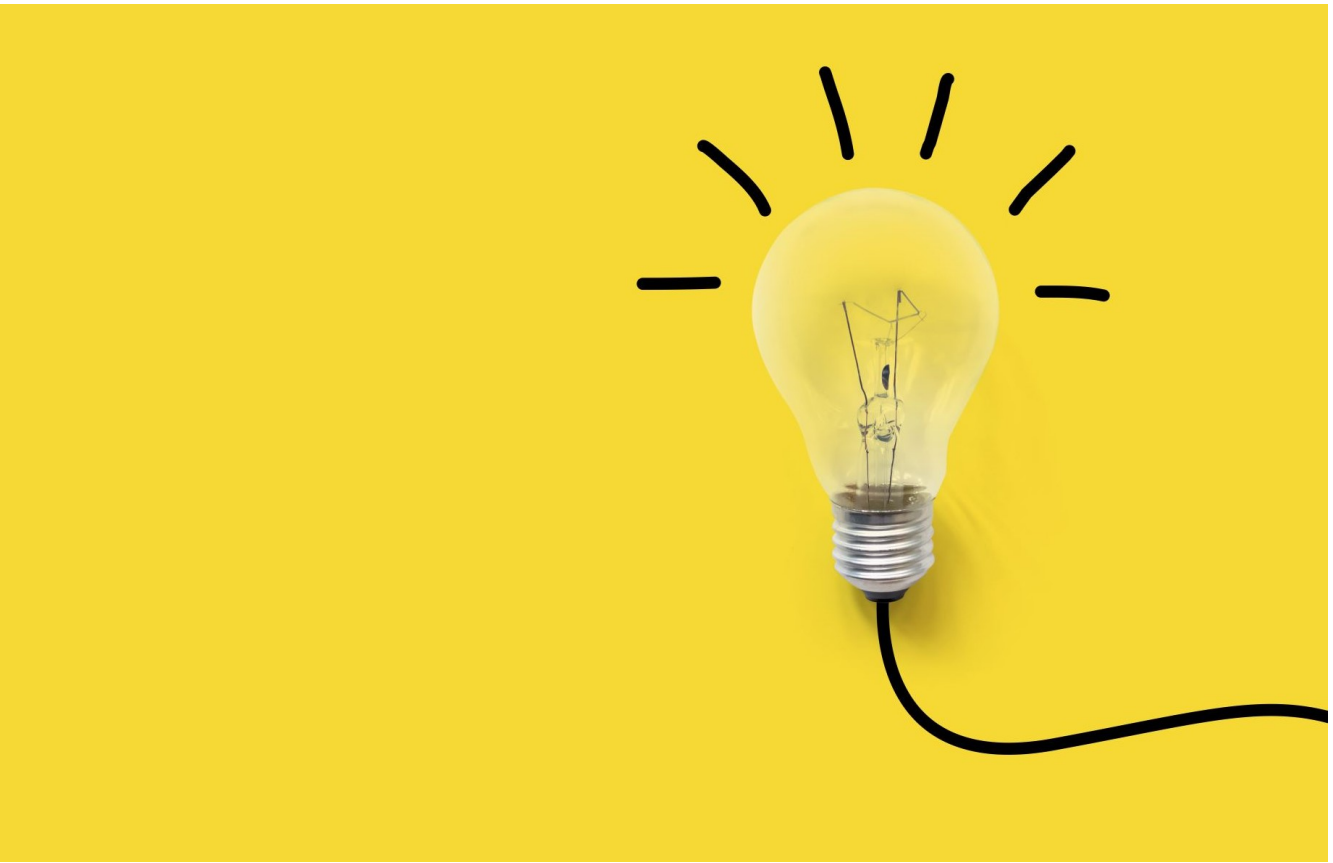
By negotiating, all involved parties try to avoid arguing but agree to reach some form of compromise.

Stages of Negotiation.



1. Preparation
2. Discussion
3. Clarification of goals
4. Negotiate towards a Win-Win outcome
5. Agreement
6. Implementation of a course of action

Fundamentals of Negotiation



- Preparation
- Thorough knowledge of the product
- Ability to communicate effectively
- Ability to persuade
- Ability to think clearly unde pressure
- Good listening skills
- Integrity
- Judgement and general intelligence.

Negotiation Styles

- Competing
- Accommodating
- Avoiding
- Compromising
- Collaborative



Negotiation Styles

- **Competing**

Negotiators that exhibit this style are assertive, self-confident, and focused on the deal and results.

- **Accommodating**

Negotiators that exhibit this style focus on maintaining relationships by minimizing the differences.

- **Avoiding**

Negotiators that exhibit this style are generally less assertive and apprehensive. They prefer tension free environment by staying neutral, objective.

Negotiation Styles

❖**Compromising**

Negotiators that exhibit this style often split the difference and seek a quick middle-ground solution. Focused on coming to an agreement.

❖**Collaborative**

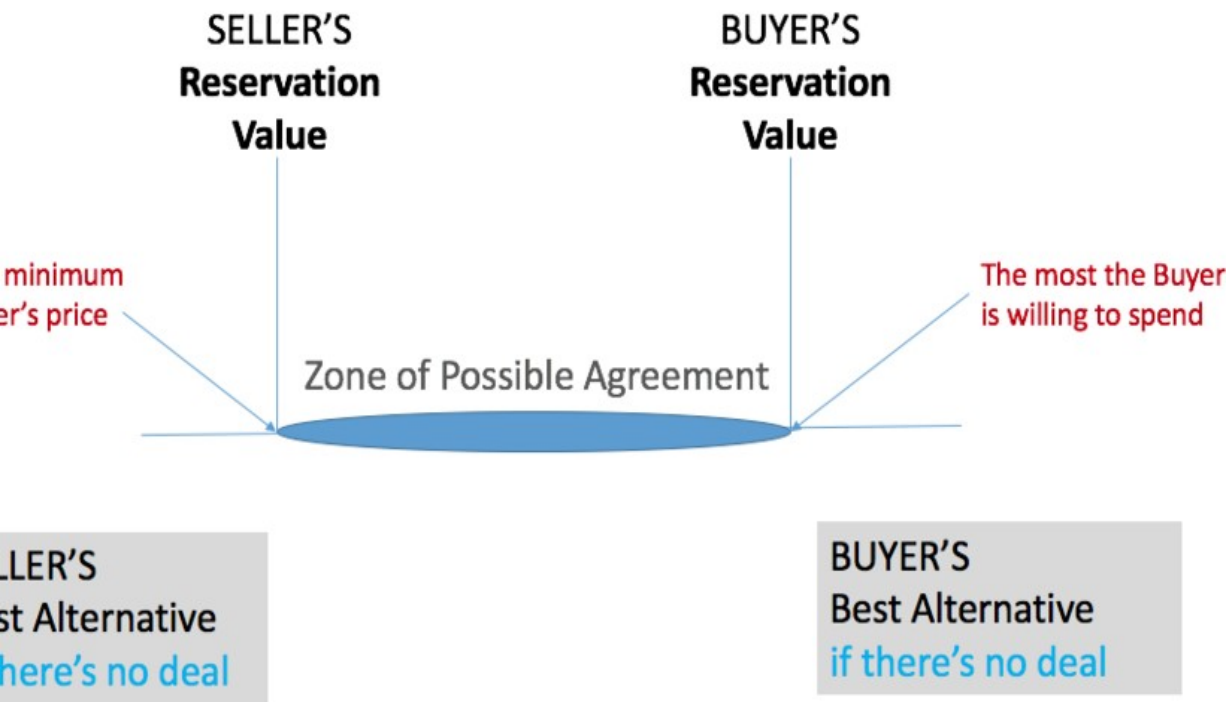
Negotiators that exhibit this style are often honest and communicative. They focus on finding novel and creative solutions that fully satisfy the concerns of all the parties.

Negotiation Concepts

Four Key Concepts of Negotiation

- BATNA
- ZOPA
- Reservation Price
- Value Creation through trade.

BATNA



- BATNA is an acronym that stands for **B**est **A**lternative **T**o a **N**egotiated **A**greement.
- The term was first used by Roger Fisher and William Ury
- Before any negotiation BATN should be undertaken
- Provides alternatives if negotiation fails.
- It predetermines the limit for the negotiator.



ZOPA

- ZOPA stands for “Zone O Potential Agreement.”
- It is the overlap between the seller’s and buyer’s settlement range.
- A ZOPA can only exist when there is some over between each party's expectations regarding a agreement.
- Buyer’s/Seller’s worst ca is the reservation point o the respective parties.



Reservation Price

The reservation Price in negotiation is when the highest price at which someone is willing to buy an item is established, and the lowest price at which a seller will sell the item is confirmed.

Value Creation through trade.



- Value creation through trades, the idea that negotiating parties can improve their positions by trading the values at their disposal.
- Value creation is to trade something else at your disposal for what you want from the other side. For example, offering to buy a larger quantity from the supplier at a price which the seller want but putting condition on the purchase process, like credit facility.

Thank You